HIGH POTENTIAL FOR HYPE POTENTIAL

Investors aren't the only people who fall prey to the delusion that hyper-growth can go on forever. In February 2000, chief executive John Roth of Nortel Networks was asked how much bigger his giant fiber-optics company could get. "The industry is growing 14% to 15% a year," Roth replied, "and we're going to grow six points faster than that. For a company our size, that's pretty heady stuff." Nortel's stock, up nearly 51% annually over the previous six years, was then trading at 87 times what Wall Street was guessing it might earn in 2000. Was the stock overpriced? "It's getting up there," shrugged Roth, "but there's still plenty of room to grow our valuation as we execute on the wireless strategy." (After all, he added, Cisco Systems was trading at 121 times its projected earnings!)[1]

As for Cisco, in November 2000, its chief executive, John Chambers, insisted that his company could keep growing at least 50% annually. "Logic," he declared, "would indicate this is a breakaway." Cisco's stock had come way down—it was then trading at a mere 98 times its earnings over the previous year—and Chambers urged investors to buy. "So who you going to bet on?" he asked. "Now may be the opportunity."[2]

Instead, these growth companies shrank—and their overpriced stocks shriveled. Nortel's revenues fell by 37% in 2001, and the company lost more than $26 billion that year. Cisco's revenues did rise by 18% in 2001, but the company ended up with a net loss of more than $1 billion. Nortel's stock, at $113.50 when Roth spoke, finished 2002 at $1.65. Cisco's shares, at $52 when Chambers called his company a "break-away," crumbled to $13.

Both companies have since become more circumspect about forecasting the future.